b	Mani A/c Dr. 745 To Sales A/c 745	Mani A/c Dr. 475 To Sales A/c 475	Sales A/c Dr. 270 To Mani A/c 270
c	Allowances A/c Dr. 500 To Bank A/c 500	Sandhiya A/c Dr. 500 To Bank A/c 500	Sandhiya A/c Dr. 500 To Allowances A/c 500
d	Wages A/c Dr. 300 To Cash A/c 300	Drawings A/c Dr. 300 To Cash A/c 300	Drawings A/c Dr. 300 To Wages A/c 300

(iii) Rectification of errors after preparing the trial balance but before preparing the final accounts

(a) Rectification of one-sided errors after preparing the trial balance

If there is disagreement of trial balance and if it is not possible immediately to locate errors, the accountant may place the difference to 'suspense account'. After that, before the preparation of final accounts, the entries, postings, castings, balancing of accounts and amounts carried forward are scrutinised to locate the errors.

At this stage, every one-sided error is rectified by passing a rectifying journal entry with the respective account (debited or credited) and suspense account (credited or debited). The suspense account is used to rectify such errors so that the difference in trial balance placed to that account gets adjusted. Once all the one-sided errors are completely rectified, the balance in the suspense account gets eliminated.

Illustration 10

The following errors were located after the preparation of the trial balance. Assume that there exists a suspense account. Rectify them.

(a) Sale of goods on credit to Arun for ₹ 152 posted to his account as ₹ 125.

(b) Bought goods from Lakshmi on credit for ₹ 550, credited to her account as ₹ 505.

(c) Purchase of furniture from Abirupa for ₹ 404 on credit was debited to furniture account as ₹ 440.

(d) Purchased machinery for cash ₹ 200 was not posted to machinery account.

(e) The total of purchases book ₹ 89 was carried forward as ₹ 98.

Solution

Rectifying entries

	Particulars	L.F.	Dr. ₹	Cr. ₹
a	Arun A/c Dr. To Suspense A/c (Wrong amount posted to Arun account rectified)		27	27
b	Suspense A/c Dr. To Lakshmi A/c (Short credit to Lakshmi account rectified)		45	45

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